

The preservation of the arbitrator's jurisdiction through a stay of litigation "is essential to the enforceability of an arbitration agreement Given the purpose of the statute, the most reasonable interpretation of the stay provision is that it grants a trial court discretion to lift a stay prior to the completion of arbitration only under circumstances in which lifting the stay would not frustrate the arbitrator's jurisdiction." (*MKJA, Inc. v. 123 Fit Franchising, LLC* (2011) 191 Cal.App.4th 643, 660.)

Analysis

The Court denied Plaintiff's prior motion to "remove this case from Arbitration Stipulation" on the grounds that the Court was without jurisdiction as the requested relief (to vacate the June 2021 Stipulation for mediation/arbitration entirely and order the parties back to Court) fundamentally invaded the province of the arbitrator and the arbitration stay. Now, Plaintiff brings a new motion "for an order to lift an arbitration stay to conduct discovery into [] plaintiff's financial hardship."

The Court did note in its prior order that under *Aronow v. Superior Court*, a trial court has jurisdiction to address a request to lift an arbitration stay to conduct discovery into a plaintiff's financial hardship, and "if he demonstrates financial inability to pay the anticipated arbitration costs, to require [defendant] either to pay [his] share of the arbitrator's fee or to waive the right to arbitration." (*Aronow*, *supra*, at p. 886.)

However, while Plaintiff does attest that he is "in a precarious financial position" (Dunham Decl. at ¶ 3), he does not declare that he is financially indigent, or that he will be unable to pursue his claims if they proceed in arbitration based on financial barriers. Likewise, Plaintiff has not filed a fee waiver in the instant litigation to support such an inference. (*Aronow*, *supra*, 76 Cal.App.5th at 884 ["Where a party seeking relief from paying the arbitrator's fee is one of the persons enumerated in Government Code section 68632's list of persons 'eligible to proceed without paying court fees and costs,' the decision would be ministerial."].) While *in forma pauperis* status is not required or dispositive, here Plaintiff has failed to overcome his evidentiary burden of demonstrating he is unable to pay for his share of the costs of arbitration.

The motion is **denied**.

11. 9:00 AM CASE NUMBER: MSC21-00316

CASE NAME: CANDELL VS EBMUD

HEARING ON SUMMARY MOTION JUDGMENT

FILED BY: EAST BAY MUNICIPAL UTILITY DISTRICT

TENTATIVE RULING:

Before the Court is a motion for summary judgment filed by defendant, East Bay Municipal Utility District ("EBMUD"), on the grounds that plaintiffs' single cause of action for inverse condemnation has no merit because they are unable to establish the "public use" element of their cause of action. (Code Civ. Proc. § 437c(o)(1).) The motion is **granted**, as discussed below.

I. Background

Plaintiffs own real property at 1085 Martino Road, Lafayette, California. (Separate Statement of Undisputed Material Facts, hereinafter "SSUMF," Fact No. 1, and plaintiffs' response.)

On January 19, 1948, EBMUD recorded an easement over plaintiffs' property for a ten-foot right-of-way, for which it paid Natale Martino \$10. (SSUMF, Fact Nos. 2-3, and plaintiffs' response.)

Since the 1940s, EBMUD has utilized the easement to maintain a water distribution pipeline serving six residences. (SSUMF, Fact Nos. 5-7, and plaintiffs' responses.) There is one fire hydrant on the subject pipeline. (SSUMF, Fact No. 8, and plaintiffs' response.)

EBMUD's water pipe failed in 2020 on plaintiffs' property. As a result, EBMUD performed a nine-foot excavation to access the pipe. (Complaint, ¶¶8-9.) The pipe failure and resulting excavation and repairs damaged plaintiffs' property (erosion, retaining wall, and pool). (*Id.* at ¶¶16-17.)

EBMUD contends, in this motion, that its activity related to the pipe here is not for a public purpose. EBMUD asserts that it did not acquire the easement through eminent domain. Plaintiffs object to this "fact" and assert the property was taken through the "threat of eminent domain." (SSUMF, Fact No. 4, and plaintiffs' response.)

EBMUD further contends the purpose of the fire hydrant is to protect only five of the six residences served by the pipeline, and that no other properties are served by the hydrant. (SSUMF, Fact Nos. 9-10.) Plaintiffs object and purport to dispute these facts. The pipeline receives water from a twelve inch water distribution main. (SSUMF, Fact No. 11, and plaintiffs' response.) EBMUD asserts that, due to the placement of valves on the system, a break on the pipeline does not affect EBMUD's provision of water or fire service to any customers whose services are not connected to the pipeline, including any customers served by the main or any other pipeline that receives water from the main. Plaintiffs purport to dispute this fact. (SSUMF, Fact No. 12, and plaintiffs' response.)

On February 22, 2021, plaintiffs filed their complaint, alleging a single cause of action against EBMUD for inverse condemnation based on damage to their property (erosion, retaining walls, and pool) resulting from pipe leaks and repairs within EBMUD's easement.

EBMUD answered on June 3, 2021, asserting 39 "affirmative defenses."

II. Motion and Opposition

On October 16, 2025, EBMUD filed this motion for summary judgment, contending it is entitled to judgment on plaintiffs' complaint because plaintiffs cannot establish one or more elements of their cause of action for inverse condemnation. Specifically, EBMUD argues plaintiffs cannot establish their property was taken for a public purpose.

In support of the motion, EBMUD submits its SSUMF, supported by an index of evidence. The index contains declarations from counsel, attaching plaintiffs' complaint, a declaration from Amber L. Sarkari, a Real Estate Representative II for EBMUD who attaches the recorded easement deed from plaintiffs' predecessor, and a declaration from Roberts H. McMullin, a Senior Civil Engineer for EBMUD, who describes background events and attaches various documents, including photographs of the 202 repair project and a map illustrating the location of plaintiffs' property, the pipe at issue, and the six residences served by the pipe.

Plaintiffs oppose the motion, arguing that EBMUD essentially fails to meet its initial burden. Plaintiffs contend EBMUD waived the "private line" argument, that EBMUD's pleadings admit the line was public, and that the authorities cited by EBMUD do not apply here. Plaintiffs support their opposition with a response to the SSUMF that also contains "additional material facts" (Nos. 13-50) in opposition to the motion, a declaration from counsel accompanied by various excerpts from deposition transcripts and other documents produced during discovery, and a declaration from

professional engineer, Douglas P. Flett. Mr. Flett attaches a report authored by himself, wherein he opines that the “threat” of eminent domain was used in the acquisition of the easement.

III. Evidentiary Issues

In opposition to the motion, plaintiffs object to certain facts in EBMUD’s SSUMF. There is no authority providing for “objections” to facts; facts can only be disputed or undisputed. (See Code Civ. Proc., § 437c, subd. (b)(3); Cal. Rules of Court, Rule 3.1350(f)(2).) Accordingly, the objections are improper. Even construing the objections as relating to the underlying evidence, they are **overruled**.

With its reply, EBMUD lodges objections to ten items of evidence submitted by plaintiffs. The objections are **sustained**.

IV. Standard on Summary Judgment

To be entitled to judgment as a matter of law, a defendant (or cross-defendant) must show by admissible evidence that the action has no merit. (Code Civ. Proc., § 437c, subd. (a).) A defendant has met its burden of showing that a cause of action has no merit if it demonstrates the absence of any single essential element of plaintiff’s case or a complete defense to plaintiff’s action. (Code of Civ. Proc., § 437c, subd. (o).) Once the moving defendant has met that burden, the burden shifts to the plaintiff to show via specific facts that a triable issue of material fact exists as to a cause of action -or a defense thereto. (Code of Civil Procedure § 437c, subd. (p)(2).) A plaintiff may not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists. (*Ibid.*)

A material fact is one that might affect the resolution of the claim, affirmative defense, counterclaim, or discrete issue raised in the summary judgment motion under the applicable substantive law (Cal Rules Ct, Rule 3.1350(a)(2).) Facts that do not affect the outcome are not material. (*Knapp v. Doherty* (2004) 123 Cal.App.4th 76, 89.)

Although the burden of production shifts, the moving party always bears the burden of persuasion. (*Aguilar v. Atlantic Richfield* (2001) 25 Cal.4th 826, 850.) We strictly construe the moving party’s evidence and liberally construe the opposing party’s evidence (*Gafcon Inc. v. Ponsor & Associates* (2002) 98 Cal.App.4th 1388, 1402) without weighing the evidence or conflicting inferences. (*Aguilar, supra*, 25 Cal.4th at 856; Code Civ. Proc., § 437c, subd. (c); *Woodridge Escondido Property Owners Ass’n. v. Nielsen* (2005) 130 Cal.App.4th 559, 567-568.)

V. Discussion

A. Step 1: Issues as Framed by the Pleadings

Here, plaintiffs seek to recover under a single theory of liability, inverse condemnation, based on work performed on EBMUD’s pipeline crossing their property. Inverse condemnation is one of two basic procedural devices (the other being eminent domain) for insuring that the constitutional proscription that “[private] property shall not be taken or damaged for public use without just compensation having first been made to . . . the owner . . . ” is not violated. (*Klopping v. Whittier* (1972) 8 Cal.3d 39, 43, quoting Cal. Const., art. I, § 14.) EBMUD filed an answer that generally denied all material allegations, including that the damaged property was taken for a public purpose.

Plaintiffs argue EBMUD should have asserted the argument in its answer and by not doing so,

has waived the argument. (See Memorandum of Points and Authorities in Support of Opposition, 4:19.) EBMUD's answer denied all material allegations in the complaint. The private use defense is not "new material" required to be raised in an affirmative defense. (See Code Civ. Proc., § 431.30(b) [answer must contain denial of allegations controverted and any new matter constituting a defense]; *State Farm Mut. Auto. Ins. Co. v. Superior Court* (1991) 228 Cal.App.3d 721, 725, ["new matter" refers to something relied on by a defendant which is not put in issue by the plaintiff].)

Further, failure to plead an affirmative defense in the answer does not necessarily preclude a defendant from raising it in a motion for summary judgment. (*Nieto v. Blue Shield of California Life & Health Ins. Co.* (2010) 181 Cal.App.4th 60, 75; *Cruey v. Gannett Co.* (1998) 64 Cal.App.4th 356, 367.) Courts generally have allowed an affirmative defense to be asserted for the first time in a motion for summary judgment "absent a showing of prejudice." (*Nieto, supra*, 181 Cal.App.4th at 75.)

The issue before the Court is properly framed by the pleadings here.

B. Step 2: Initial Burden

EBMUD argues its actions in establishing or maintaining the pipeline were for private, not public, purposes. EBMUD relies on two appellate authorities, *Cantu v. Pacific Gas & Electric Company* (1987) 189 Cal.App.3d 160 and *Foley Investments, L.P. v. Alisal Water Corp.* (2021) 72 Cal.App.5th 535. These cases stand for the principle that there is no right to sue in inverse condemnation where a utility line project does not result from actions taken through eminent domain in the first place. This is because, in such cases, the utility has not made an economic business decision to assume liability in the event damage to neighboring property is proximately caused by its improvement. The line extensions in such cases is not the type of public or quasi-public activity where the risks of injury should be spread over society. (See *Cantu, supra*, 189 Cal.App.3d at 164-165.)

In *Cantu*, PG&E had contracted with the developers to provide electrical and gas service to homeowner plaintiffs. PG&E installed a joint trench for its facilities, allegedly resulting in a hillside collapse, making plaintiffs' residence uninhabitable. (*Ibid.*) The trial court held PG&E liable for inverse condemnation. (*Ibid.*) The appellate court reversed, holding that the service was for "a private use and therefore inverse liability principles are inapplicable." (*Id.* at 164.) The appellate court further noted that PG&E had not acquired an easement through legislative action or by eminent domain, but rather had been granted an easement by the private developer responsible for developing the subdivision in which plaintiffs' home was located. (*Id.* at 164-165.)

In *Foley, supra*, 72 Cal.App.5th at p. 537, the plaintiff brought an action against a water service company, Alco, after a water main that runs through a portion of the plaintiffs' apartment complex repeatedly ruptured. Alco had contracted with the developer of the property to install a water main on the property to comply with the fire marshal's requirements. (*Id.* at 539.) The developer granted Alco an easement for the main, and Alco did not take the land by eminent domain. (*Ibid.*) The appellate court upheld the trial court's ruling that the water main was for a private use. (*Id.* at 546.) The Court noted that the main was installed pursuant to a contract with a private developer rather than through eminent domain authority. (*Id.* at 544.) The Court noted that the main was installed only for the benefit of the property at issue, which included 81 units that housed about 400 occupants. (*Id.* at 540, 544.)

Here, EBMUD asserts that the pipeline is analogous to the private-use utility projects in *Cantu* and *Foley*. The undisputed evidence shows EBMUD paid \$10 to plaintiffs' predecessors for the easement. Nothing in the evidence submitted by either side shows that the compensation was paid in the course of an eminent domain proceeding. On the contrary, EBMUD's records and employee testimony indicates that the transfer was not made pursuant to eminent domain.

Plaintiffs argue that EBMUD fails to meet its initial burden. They contend that the *threat* of eminent domain is tantamount to using the power of eminent domain to obtain private property, and that eminent domain was being discussed around the time of the transfer. To the extent their admissible evidence might show such discussions, they cite no legal authority for the position that the threat is sufficient. The one case they cite is from 1946 and relates to jury instructions on valuation of property in an eminent domain proceeding. It does not support the legal equivalence of the threat of eminent domain with the use of eminent domain.

Plaintiffs also emphasize that they are "innocent owners" who obtain no benefit from the pipeline crossing their property. They argue the motion should be denied on this basis alone. The assertion ignores acceptance by plaintiffs' predecessor (Mr. Martinho) of monetary compensation for the easement to EBMUD. Further, plaintiffs' own inadmissible evidence appears to suggest that their predecessor was also paid money by the benefitted landowner(s) (Hink and/or Neal) for allowing the easement. (See Ex. 16 to Index of Evidence in Support of Opposition.) The grant was not without some benefit to the servient property.

The Court finds EBMUD has met its initial burden to show the pipeline construction and maintenance was not in pursuit of a public use.

C. Step 3: Disputes of Material Fact

With respect to plaintiffs' burden to demonstrate material factual disputes, plaintiffs' response to the separate statement indicates that the facts offered by EBMUD are not truly in dispute. Further, the additional facts offered by plaintiffs are not material to the outcome here.

Plaintiffs offer a declaration from engineer, Douglas B. Flett, in support of their opposition. (See, e.g., Additional Material Fact No. 28 [easement taken using the "threat" of eminent domain].) The attached report contains multiple inadmissible statements. EBMUD has lodged valid objections, which have been sustained.

Many of plaintiffs' additional "facts" are statements taken directly from EBMUD's pleadings. While judicial estoppel precludes a party from gaining an advantage by taking one position, and then seeking a second advantage by taking an incompatible position, the circumstances in which it applies are not present here, as discussed in the reply. The doctrine most appropriately applies when: (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake. (*MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co., Inc.* (2005) 36 Cal.4th 412, 422, citations omitted.) EBMUD argues that its assertions in the pleadings were made at the outset of this case, not after discovery or a thorough investigation. The inference is that, to the extent the statements appear in the

pleadings, they are either not legal positions, or were a mistake. The Court agrees. Nothing in the pleadings directly admit that the pipeline here serves a public purpose.

Many of the “additional facts” are immaterial. For example, the specific experience of Amber Sarkari (EBMUD witness) (Fact No. 18), or whether she testified that “eminent domain” is interchangeable with “condemnation” (Fact No. 20), or whether EBMUD maintains the pipeline (Fact No. 47) are not facts directly relevant to whether the pipeline serves a public purpose.

To the extent that plaintiffs highlight the uncertainty surrounding whether the 1940s negotiations involved the “threat” of eminent domain, this is speculation. (See, e.g., Additional Material Fact Nos. 21-23, 31 [argument re inability of Amber Sarkari to testify about 1940s negotiations]; *Aguilar, supra*, 25 Cal.4th at 864 [speculation is not evidence]; *Reeves v. Safeway Stores, Inc.* (2004) 121 Cal.App.4th 95, 105-106 [what witness testifies to in a deposition is not a “material fact”].)

Given that plaintiffs do not successfully meet their burden to show material disputes of fact, the motion must be granted.

12. 9:00 AM CASE NUMBER: MSN13-1889
CASE NAME: RE 316 CALLE LA MONTANA, MORAGA, CA
HEARING ON PETITION IN RE: PETITION RE: UNRESOLVED CLAIM AND DEPOSIT OF SURPLUS PROCEEDS OF TRUSTEE'S ASALE
FILED BY:
TENTATIVE RULING:

The hearing on the distribution of surplus funds is continued to April 10, 2026 at 9:00 a.m.

This matter was scheduled for hearing on the distribution of surplus funds following the sale of the property described as Legal Lot Unit 12, Subdivision 3876, Book 126, Page 8 Contra Costa County Records Assessor's Parcel Number 255-602-001. The Court did not receive any claims for the surplus funds. It appears that not all of the potential claimants were notified of the hearing.

Accordingly, the hearing is continued to allow for the clerk to serve notice on all potential claimants. The clerk is directed to send an updated Notice of Order Depositing Surplus Funds and Notice of Hearing with the new hearing date, plus a copy of this Order, to all addresses listed in the Affidavit of Mailing.

The hearing is continued pursuant to Court's motion to April 10, 2026 at 9:00 a.m. before Judge Joni Hiramoto.

Discovery Law & Motion

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